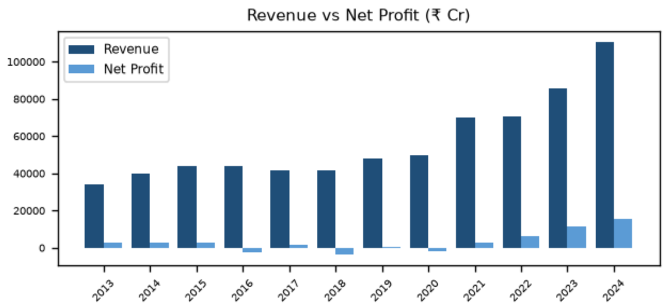
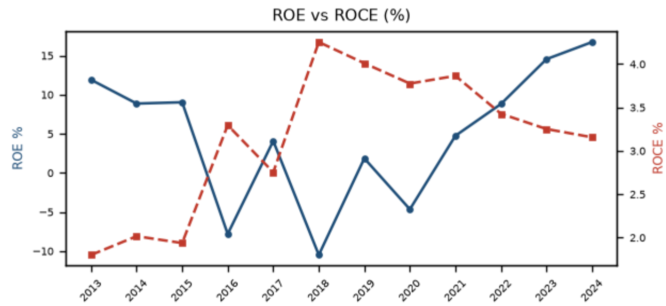
Canara Bank (CANBK)

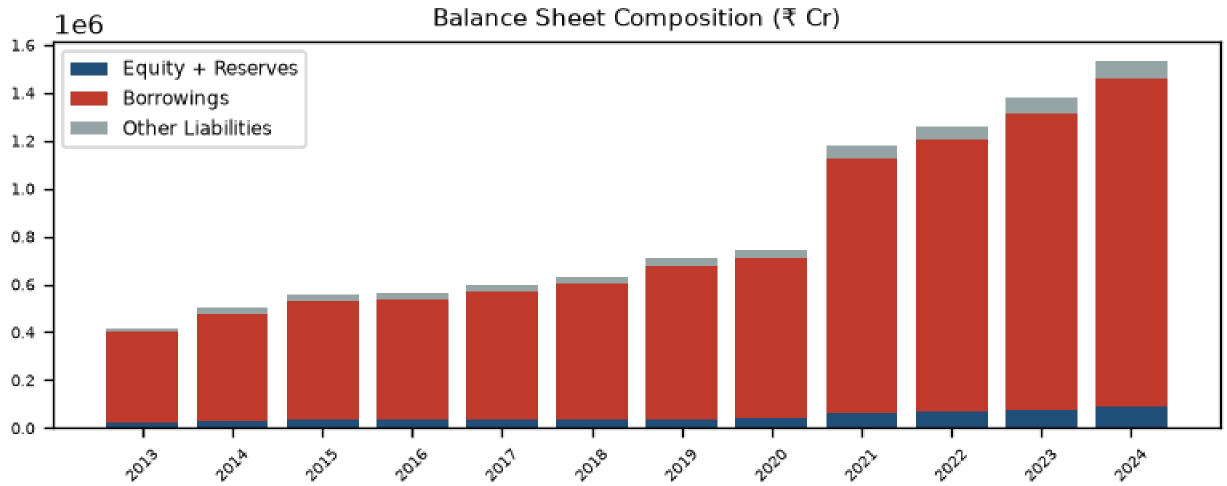
Financials — Public Sector Banks

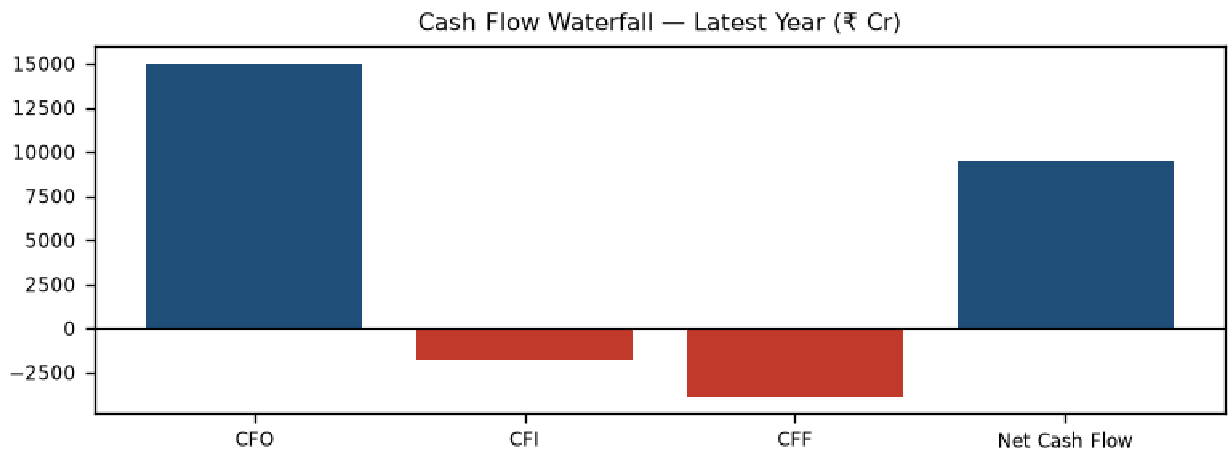
ROE	ROCE	Net Profit Margin
16.7%	3.2%	13.9%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
14.9x	18.2%	13296





Canara Bank (CANBK) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Reinvestor

Pros

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (63% confidence)
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (68% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (93% confidence)
✓ Consistent dividend yield above 2% backed by positive free cash flow (69% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (79% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (67% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)